

included in an estate, for estate tax purposes. So if you can convert wealth that you hold in a bank account or other assets to an insurance program, you may be able to avoid taxes.

*May* is a key word. Tax rules applying to insurance are complex. And they are subject to change.

We don't like using insurance in estate planning. First, because we always fall asleep when insurance agents begin to describe how their products work. And second, because much of the challenge of protecting wealth over generations is avoiding unnecessary costs. Over time, the fees and commissions in insurance programs tend to work against you. Insurance is big business. It is profitable because it gives itself a fat margin between what customers pay in and what it pays out.

Like almost everything else involved with multigenerational wealth planning, there's a big difference in how insurance works over a short term and how it works over a long term. Over a short term, you may protect yourself against a risk at reasonable cost. But over a long term, the risk is more likely to be realized as an event.

Over a long time, for example, death is not a risk; it's a certainty. The insurance companies know this. They price it in. You end up paying the cost of the loss, plus the cost of the insurance company's overhead and profits. In other words, you're not paying for insurance at all. You're just paying someone to mitigate and to help organize something that is bound to happen.

This comment applies to all insurance products. Taking your entire family and projecting it forward several generations, you are likely to suffer the calamities the insurance companies protect against. You will experience sickness, accidents, house fires, root canals, and other setbacks. The more the odds of these events approach 100 percent, the less sense it makes to pay an insurance company to cover them for you. You are not protecting yourself against risk; you are merely using insurance to finance the painful events of life. You could do so much more cheaply yourself by maintaining a family "emergency fund."

Insurance is expensive. It's a "high-friction" enterprise. Sales agents earn good livings. Actuaries and risk analysts are among the best-paid professionals in the financial sector. And then there are the inevitable